

Financial Controls & Audit Trail Policy

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APPROVED — ACTIVE

1. Purpose & Scope

This policy governs the integrity, audit logging, traceability, and compliance of all financial records across TechCorp's enterprise financial operations. It establishes the control framework that ensures every financial transaction, journal entry, and report is attributable, verifiable, and preserved in an immutable audit trail — whether processed through the Enterprise AI Platform or traditional financial systems.

This policy applies to all Finance Department personnel, Internal Audit, and any employees in other departments who initiate, approve, or record financial transactions. It also applies to the **IT Department** for financial system management and the **Security Department** for audit trail protection. It operates alongside the **Financial AI Governance Policy (FIN-AI-001)** and TechCorp's SOX compliance framework.

2. AI Platform Integration

The Finance Department leverages the Enterprise AI Platform to strengthen controls and audit trail completeness, with enforcement infrastructure managed by the **IT Department** and monitoring by the **Security Department**. Core integrations include:

- Continuous Controls Monitoring Engine** — AI-driven testing of all key financial controls on a continuous basis, not just at period-end, flagging control failures in real time for controller investigation and remediation tracking.
- Immutable Audit Trail Ledger** — Every financial record created, modified, or accessed through the AI Platform is logged with timestamp, user identity, action type, and before/after values, stored in a write-once-read-many architecture verified by **Security** for tamper resistance.
- Reconciliation Automation Module** — AI matches transactions across general ledger, subledgers, bank statements, and the **Sales Department's** CRM revenue entries, flagging unreconciled items and generating the reconciliation report for analyst review.

- **Segregation of Duties Analyzer** — AI continuously reviews user access and transaction activity to detect segregation-of-duties conflicts, alerting the Controller and IT when incompatible duties are detected for the same individual.

Connected Departments: IT (financial system infrastructure & audit trail storage) • Security (audit trail protection & access monitoring) • Legal (SOX compliance & regulatory audit response) • Sales (revenue recognition data integrity) • AI (controls monitoring model accuracy) • Operations (procurement & expense transaction integrity)

3. Permitted Controls & Audit Trail Activities

Activity	AI Role	Human Oversight Required
Continuous control testing	Automated sampling, testing & failure flagging	Internal Audit reviews all flagged failures; Controller confirms remediation
Audit trail integrity monitoring	Tamper detection & anomaly alerting	Security investigates all tamper alerts; Finance confirms record validity
Segregation of duties analysis	Continuous conflict scanning & alerting	Controller reviews conflicts monthly; IT remediates access violations
Account reconciliation	Automated matching & discrepancy flagging	Accountant investigates and resolves every flagged discrepancy
Journal entry review	Risk scoring & anomaly detection	Controller reviews high-risk entries before posting
Financial close checklist automation	Task tracking & completeness verification	Close manager confirms all tasks complete before period close

4. Prohibited Activities

The following are strictly prohibited under this policy:

- **Modification or deletion of posted financial records without a documented correcting entry.** All corrections must be made through a new, attributable journal entry — never by altering the original record. The audit trail must preserve every version.
- **Disabling or bypassing audit logging for any financial system.** Audit logging must remain active on all financial systems at all times. Temporary disabling requires CFO and Security approval with a documented justification and defined re-enablement time.
- **Segregation of duties violations.** No individual may both initiate and approve the same financial transaction. No individual may have both record-creation and audit-

trail-modification access. AI-detected SoD conflicts must be resolved within 5 business days.

- **Period-end close without completed control attestations.** Every key control must have a completed and attested test result before the period is closed. AI-detected control gaps block the close process until resolved.
- **Use of offline or shadow financial records outside the audited system of record.** All financial transactions must flow through the approved financial systems with full audit trail capture. Offline spreadsheets used for financial decisions must be ingested and logged.

5. Audit Trail Standards & Data Retention

All financial controls and audit trails must comply with TechCorp's **AI Safety Guidelines** (AI Department) and the **Data Protection Standards** (Security Department). Specific requirements:

- Every financial record must capture: unique record ID, creation timestamp, creating user identity, last modification timestamp, modifying user identity, before-value and after-value for every change, and business justification reference.
- Audit trail records are immutable by design; the write-once-read-many storage architecture is verified quarterly by Security and attested in the SOX control framework.
- Financial audit trail data must be retained for a minimum of 7 years in compliance with SOX and applicable tax regulations, with retention execution managed by IT per the data retention schedule maintained by Legal.
- Audit trail access is restricted to Finance, Internal Audit, and authorized Security personnel; all access to audit trails is itself logged and reviewed quarterly.
- AI-generated financial records carry metadata distinguishing them from human-entered records, including the AI model version, prompt reference, and reviewing analyst identity for complete traceability.

6. Controls Quality Standards

Finance and audit personnel must adhere to TechCorp's **Prompt Engineering Standards** when configuring AI-driven controls. Controls-specific requirements include:

- Control testing prompts must include the control objective, testing procedure, sample criteria, and expected pass/fail conditions for the AI to execute testing accurately.
- Segregation of duties analysis prompts must reference the complete duties matrix maintained by Finance and IT; changes to role definitions must trigger an immediate SoD re-analysis.

- Audit trail anomaly detection prompts must be tuned to the normal transaction volume, value distribution, and user behavior patterns for each financial process to minimize false positives.
- All control test procedures and prompt templates must be version-controlled and approved by Internal Audit before deployment in the continuous controls monitoring engine.

7. Roles & Responsibilities

Role	Responsibility
Chief Financial Officer (CFO)	Overall controls and audit trail ownership; SOX certification accountability; approval of control framework changes; Audit Committee reporting.
Financial Controller	Day-to-day control operation; journal entry review and approval; reconciliation oversight; segregation of duties conflict resolution; period-end close governance.
Internal Audit Lead	Continuous controls monitoring program; independent control testing; AI-driven control test validation; quarterly audit trail integrity verification; Audit Committee reporting.
Finance Operations Staff	Transaction processing within approved controls; reconciliation execution; journal entry preparation with complete documentation; timely response to AI-flagged discrepancies.
IT Department	Financial system infrastructure; audit trail storage architecture; segregation of duties access enforcement; financial data warehouse maintenance; control automation platform support.
Security Department	Audit trail tamper protection; financial system access monitoring; quarterly access audits; segregation of duties alert investigation; financial data breach response.
Legal Department	SOX compliance interpretation; regulatory audit response coordination; financial record retention schedule maintenance; control failure disclosure assessment.
AI Department	Controls monitoring model accuracy; audit trail anomaly detection tuning; AI-generated financial record metadata standards; prompt governance for controls tooling.

8. Incident Response

Any of the following constitutes a financial controls or audit trail incident and must be reported within the timeframe specified:

- Detected or suspected audit trail tampering — Security receives real-time alert; CFO and Controller notified within 15 minutes; affected records quarantined;

forensic investigation initiated within 1 hour; board notification within 24 hours if confirmed.

- Material control failure detected by continuous monitoring — Controller notified immediately; compensating control activated within 4 hours; control remediation plan documented within 5 business days; SOX impact assessed by Internal Audit.
- Segregation of duties violation resulting in an unauthorized transaction — Controller and Security notified within 1 hour; transaction frozen pending review; access immediately corrected; post-incident review within 5 business days.
- Period closed with unresolved material control gaps — CFO and Audit Committee notified within 24 hours; control gap impact assessment completed within 5 business days; remediation plan presented to Audit Committee.
- Financial audit trail data loss or corruption — IT and Security notified within 15 minutes; recovery from backup initiated immediately; data integrity verified before system restored to operation.

All control and audit trail incidents are logged in the compliance incident module. SOX-significant incidents are escalated to the Audit Committee within 48 hours. External auditor notification follows the protocol maintained by Internal Audit and Legal.

9. Training & Compliance

- All Finance Department personnel must complete the Financial Controls & Audit Trail Integrity training within 30 days of hire and annually thereafter.
- Personnel with financial system access must complete the Segregation of Duties Awareness module before receiving approval or transaction-processing privileges.
- Internal Audit personnel must complete the AI-Assisted Controls Monitoring certification covering continuous control testing configuration and AI output validation.
- Quarterly control self-assessments are completed by process owners with AI-assisted sampling; results are reviewed by Internal Audit and reported to the Controller and CFO.
- Non-compliance with this policy, including segregation of duties violations or audit trail tampering, is subject to immediate access revocation and the progressive discipline framework administered by HR.

10. Review & Revision

This policy is reviewed every 6 months by the CFO, Financial Controller, and Internal Audit Lead, with input from the IT Department (for system controls and audit trail infrastructure), Security Department (for tamper protection and access monitoring), Legal Department (for SOX and regulatory alignment), and AI Department (for

controls monitoring model performance). Revisions are versioned, approved by the CFO, and synchronized with updates to the Financial AI Governance Policy, the SOX compliance framework, and the Data Protection Standards. Emergency revisions triggered by control failures or audit findings follow an accelerated 14-day review cycle with Audit Committee notification.

Referenced Policies: Financial AI Governance Policy (FIN-AI-001) • AI Safety Guidelines (AI Department) • Prompt Engineering Standards (AI Department) • Data Protection Standards (Security Department) • IT Access Management Policy (IT Department) • Corporate Compliance & Data Governance Policy (LEG-CORP-002) • SOX Compliance Framework (Finance & Legal)